Pension Wise

A service from MoneyHelper

Getting started

This is a summary of your defined contribution pension options. This is your personal or workplace pension and is based on how much has been paid into your pot.

This is not a final salary or career average pension.

You may have more than one defined contribution pension pot. You can choose different options for each pot. Ask your provider if your pension has any special features or restrictions. This will help you to decide on an option. For example, you may have a guaranteed annuity rate. This could provide a higher income than annuities offered by other providers.

You can't usually take your pension before you're 55 except in some rare cases, eg if you have a serious illness or a 'protected pension age'.

The earliest age you can access your pension pot is increasing to age 57 on 6 April 2028.

This is important for those born after 6 April 1971, as it could mean that you are unable to access your pension until up to 2 years later than you expected.

The rules are complicated so you should check with your pension provider.

Most people are eligible for the State Pension paid by Government. To find out how much you may be entitled to you can go to the GOV.UK website and get a State Pension statement. Contact the International Pension Centre on +44 191 218 7777 if you live abroad.

What you'll find on the MoneyHelper website

The MoneyHelper website explains your pension options and how to make the best use of your money. Before you decide on a pension option go to moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension for detailed information about:

- Working out how much money you'll have in retirement
- Planning how long your money needs to last
- Taking your pension before you're 55
- How to avoid a pension scam
- Tax you pay on your pension
- How your pension could affect your entitlement to benefits

If you can't use our website you can get pensions help from the MoneyHelper Helpline (see 'Further free and impartial guidance').

The information in this document only applies to UK taxpayers with UK-based pensions. For information on tax when living abroad go to our website, moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/moving-living-and-retiring-abroad

The 6 options discussed in the appointment

These are the options that are available now. They may have changed by the time you reach 55 (or 57) and are able to take money from your pension pot.

You may be able to take your pot sooner but only in rare cases, eg early retirement due to ill health.

1. Retire later or delay taking your pension pot

You don't have to take money from your pot as soon as you reach 55. You can leave your money invested and take it when you're ready. Your pot could grow further and give you a larger amount of money to last for a shorter amount of time. You may also have greater choice in the future if pension providers introduce new products.

2. Get a guaranteed retirement income (annuity)

This is an insurance policy you buy to give you a guaranteed income, either for the rest of your life or for a fixed number of years. You can take up to 25% of your pot tax free before you buy an annuity. There are different types of annuities and it's important you buy the right one for you.

3. Get a flexible retirement income (pension drawdown)

You can take up to 25% of your pot tax free. The rest is invested to give you a taxable income. You decide how much you take out each year and how long you want your money to last. The value of your pot can go up or down depending on your investment choices. Pension providers may describe this option as 'pension drawdown'.

4. Take your pension as a number of lump sums

Your pot stays where it is and you take smaller lump sums over time. 25% of each amount you take out is tax free and the rest is taxable. You can spread the lump sums out over multiple tax years which could mean you pay less tax. Pension providers may describe this option as 'Uncrystallised Funds Pension Lump Sum' (UFPLS).

5. Take your whole pension in one go

You can take your whole pension in one go. 25% is tax free and the other 75% is taxed along with any other income you have, eg from work, savings or investments. Pension providers may also describe this option as 'Uncrystallised Funds Pension Lump Sum' (UFPLS) or full encashment. If your pot is worth less than £10,000 you can ask your provider if they will let you cash it in under the 'small pots' rule.

6. Mix your options

You can mix your options, eg use some of your pot to get a flexible retirement income and some to buy a guaranteed retirement income (annuity). If you have more than one pot, you can choose different options for each one, eg delay taking one pension pot and take a number of lump sums from another.

You may pay emergency tax when you take money from your pot. You can claim this back from HM Revenue and Customs – search for 'tax refund' on GOV.UK or phone 0300 200 3300 (+44 135 535 9022 if you're outside the UK).

You can find out more about the 6 options on moneyhelper.org.uk/en/pensions-and-retirement/pension-wise/pension-pot-options.

1. Retire later or delay taking your pension pot

Key facts

1. While the money stays in your pot you don't pay tax on it.
2. It's up to you when you take the money out – the earliest is usually aged 55, unless you have a serious illness. The earliest age you can access your pension pot is increasing to age 57 on 6 April 2028.
3. If someone contacts you unexpectedly about getting money out of your pot before you're 55, it's nearly always a pension scam.
4. You may still be able to pay into your pot but you could be charged for leaving your pot beyond your 'selected retirement age' – the age you agreed to retire with your provider.
5. Money left in your pot can be passed on when you die.

Next steps

Questions to ask your provider:

- Have I agreed a retirement age with you? What is it?
- What are the fees for delaying taking my pension pot?
- How is the money invested and can I change this if I want?
- How much can I still pay in?
- Does my pot have any special features like a guaranteed annuity rate?
- Do you have up-to-date details of who I want to leave my pot to (my 'beneficiary') when I die?

Go to our website for more guidance on:

→ Retiring later or delaying taking your pension pot
moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/retiring-later-or-delaying-taking-your-pension-pot

2. Get a guaranteed retirement income (annuity)

Key facts

1. This is a type of insurance product which gives you a guaranteed income.
2. You can shop around for an annuity – you don't have to buy one from your current pension provider.
3. You can buy an annuity for a fixed term or for the rest of your life.
4. You can normally take up to 25% of your pot tax free – if you do this you must buy an annuity with the remaining 75% or use one of the other options.
5. If you're currently receiving a pension income it's likely that you've already bought an annuity or are taking an income from a final salary or career average (defined benefit) pension.
6. There are many different types of annuity and it's important you get the right one for you.

Next steps

Questions to ask your provider:

- Does my pot have any special features like a guaranteed annuity rate?
- Do I qualify for an enhanced or impaired annuity? You'll need to tell your provider if you smoke or have a medical condition
- Which types of annuity do you offer?

Go to our website for more guidance on:

- The different types of annuity
  moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/guaranteed-retirement-income-annuities-explained#types-of-annuity

- Why it's important to be upfront about your health
  moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/guaranteed-retirement-income-annuities-explained#enhanced-annuities

- Understanding how much tax you may pay on your annuity income
  moneyhelper.org.uk/en/pensions-and-retirement/tax-and-pensions/a-guide-to-tax-in-retirement#defined-contribution-pensions

- Pension recycling tax laws
  moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/guaranteed-retirement-income-annuities-explained#can-you-continue-contributing-to-a-pension-if-you-purchase-an-annuity

- Shop around for annuities using our online tool, to help you get the best deal
  moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/compare-annuities

3. Get a flexible retirement income (pension drawdown)

Key facts

1. You get an income from your pot which is taxable. You decide how much to take out and when, and how long you want it to last. This option is known as 'pension drawdown'.

2. You move your pot to a pension drawdown product, then you can normally take up to 25% of your pot tax free and the remaining funds are invested. You can decide how much and how often you want to draw money from the pot.

3. Your provider will ask you how you want to invest your remaining pot when you move into pension drawdown. You will either need to choose your own investments, i.e. ones that match your attitude to risk and objectives for your money, or some providers will offer you to choose from simple ready-made investment options which are linked to your retirement plans (these are called Investment Pathways). You could also use a financial adviser to help you choose.

4. An investment pathway is a ready-made investment option, which simplifies the decision of how to invest your remaining pension pot after you've taken your tax-free lump sum.

5. As with all investments, the value of your pot can go up or down.

6. You may be able to keep paying into another pension after you take money out, but you could pay a tax charge on contributions over £10,000 a year (known as the 'money purchase annual allowance').

Next steps

Questions to ask your provider:

- Do you offer pension drawdown?
- Will I have to pay any fees, eg each time I take a payment?
- How much could my pot grow or go down? Some providers now offer products which include guarantees
- Will you charge me a fee if I move my pot to a provider that offers this

option?

- Does my pot have any special features like a guaranteed annuity rate?

Go to our website for more guidance on:

- How pension drawdown works
  moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/what-is-flexible-retirement-income-pension-drawdown#How-pension-drawdown-works

- Shopping around – Our investment pathways tool which will help you shop around the market to get the best deal
  comparison.moneyhelper.org.uk/en/tools/drawdown-investment-pathways

- How much tax you would pay on any money you're planning to take out
  moneyhelper.org.uk/en/pensions-and-retirement/tax-and-pensions/a-guide-to-tax-in-retirement#defined-contribution-pensions

- Getting financial advice
  moneyhelper.org.uk/en/getting-help-and-advice/financial-advisers/do-you-need-a-financial-adviser

- Pension recycling tax laws
  moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/what-is-flexible-retirement-income-pension-drawdown#Pension-recycling

4. Take your pension as a number of lump sums

Key facts

1. Instead of taking your whole pension in one go, you take smaller lump sums over time. 25% of each lump sum you take out is tax free and the rest is taxable.

2. 75% of the lump sum of cash you take will get taxed along with any other income you have, eg from work, savings or investments.

3. You're likely to be involved in choosing and managing your investments.

4. You can spread the lump sums out over multiple tax years to reduce your income which could mean you pay less tax.

5. Providers may describe this option as 'Uncrystallised Funds Pension Lump Sum' (UFPLS) or partial encashment.

6. You may be able to keep paying in after you take money out but you could pay a tax charge on contributions over £10,000 a year (known as the 'money purchase annual allowance').

If you invest your pot into pension drawdown, you won't be able to take any more tax-free cash and can't use this option.

Next steps

Questions to ask your provider:

- Do you offer 'Uncrystallised Funds Pension Lump Sum' (UFPLS)?
- Will you charge me a fee if I move my pot to a provider that offers this option?
- Does my pot have any special features like a guaranteed annuity rate?

Go to our website for more guidance on:

- Shopping around for quotes from other providers
  moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/shopping-around-for-pension-income-products-at-retirement

- Finding out how much tax you would pay on any money you're planning to take out
  moneyhelper.org.uk/en/pensions-and-retirement/tax-and-pensions/a-guide-to-tax-in-retirement#defined-contribution-pensions

- Getting financial advice
  moneyhelper.org.uk/en/getting-help-and-advice/financial-advisers/do-you-need-a-financial-adviser

5. Take your whole pension in one go

Key facts

1. If you take your whole pension in one go 25% is tax free and the remaining 75% is taxable.

2. The money from your pot will be added to any other income you have over the tax year.

3. Adding a large cash sum to your income could put you in a higher tax band.

4. You can take up to 3 small personal pension pots of up to £10,000 each without it counting towards your annual or lump sum allowances. There's normally no limit on the number of workplace pensions that you can cash in under the small pots rule.

5. Providers may also describe this option as 'Uncrystallised Funds Pension Lump Sum' (UFPLS) or full encashment.

6. Taking your whole pension in one go could affect your entitlement to benefits.

7. You may be able to keep paying in after you take money out but you could pay a tax charge on contributions over £10,000 a year (known as the 'money purchase annual allowance').

You should think about this option carefully. Once you've taken the money out you can't change the decision and you lose the tax-free status it had while in your pot.

Next steps

Questions to ask your provider:

- Can I take my whole pension in one go?
- Will you charge me a fee if I move my pot to a provider that offers this option?
- Can I cash in my pension under the small pots rule? (Ask if your pot is under £10,000)

Go to our website for more guidance on:

- How much income you'll need in future years of retirement
  moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/checklist-things-to-do-as-retirement-approaches

- How much tax you would pay if you took your whole pension in one go
  moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/taking-your-whole-pension-in-one-go#things-to-think-about

- Getting financial advice
  moneyhelper.org.uk/en/getting-help-and-advice/financial-advisers/do-you-need-a-financial-adviser

- How to avoid a pension scam
  moneyhelper.org.uk/en/money-troubles/scams/how-to-spot-a-pension-scam

- Your pension when you die
  moneyhelper.org.uk/en/pensions-and-retirement/pension-problems/pensions-after-death

6. Mix your options

Key facts

1. You can mix your options, eg use some of your pot to get a flexible retirement income (pension drawdown) and some to buy a guaranteed retirement income (annuity).

2. Not all providers offer all the options.

3. If you have more than one pot, you can use different options for each pot, eg delay taking one pot and take a number of lump sums from another.

Next steps

Questions to ask your provider:

- Which pension options do you offer?
- Can I mix some of the options together?
- Will you charge me a fee if I move my pot to a provider that offers the options I want?

Go to our website for more guidance on:

- All the pension options to see which ones are right for you
  moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/your-options-for-using-your-defined-contribution-pension-pot
- Speaking to a financial adviser – mixing different options can be complicated
  moneyhelper.org.uk/en/getting-help-and-advice/financial-advisers/do-you-need-a-financial-adviser#pensions
- Shopping around for the best deal – you don't have to stay with your current provider
  moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/shopping-around-for-pension-income-products-at-retirement

Tax when your pension pot is inherited

The following tax rules apply to delaying taking your pension pot, taking your pension as a number of lump sums, and getting a flexible retirement income (pension drawdown).

You die before 75

There's no tax to pay if the person you leave your money to (your 'beneficiary') claims it within 2 years. They can take a lump sum or get an income from it.

You'll usually pay tax on lump sums over the lump sum and death benefit allowance (LSDBA) (£1,073,100 in 2026/27).

You die at 75 or over

Your beneficiary will pay Income Tax on lump sums and any income they take from the investments. They'll usually pay tax on a UK pension even if they live abroad.

The following tax rules apply to certain types of annuity which you can pass on when you die.

You die before 75

Any income or lump sum payments are normally tax free. You'll usually pay tax on lump sums over the lump sum and death benefit allowance (LSDBA) (£1,073,100 in 2026/27).

You die at 75 or over

Any income or lump sum payments made to your beneficiaries are taxed at their marginal rate.

The following tax rules apply to taking your whole pension in one go

No matter when you die the money you pass on is part of your estate (money, property and possessions).

Inheritance Tax is payable if your estate is worth more than £325,000 when you die. This is called the 'Inheritance Tax threshold' and can be worth up to £650,000 for married couples or civil partners. The standard rate is 40%.

Next steps

Things to consider:

- Think about how you want to leave money behind.
- Think about the most tax-efficient way of leaving your money – you can speak to a financial adviser for help with this.

Questions to ask your provider:

- Do you have up-to-date details of who I want to leave my money to (my 'beneficiary') when I die?

Go to our website for more guidance on:

Inheritance tax
moneyhelper.org.uk/en/family-and-care/death-and-bereavement/a-guide-to-inheritance-tax

Watch out for pension scams

Your pensions are valuable. Scammers are out to take your pension money. Here's some warning signs to look out for to keep you one step ahead of the fraudsters:

- Scammers often contact you out of the blue. This is often by social media or website pop-up adverts, text, email, post or phone. You might be asked to provide your phone number and you'll receive a call back by an 'adviser'. They might offer 'FREE PENSION REVIEWS', upfront cash incentives, one-off investments, 'legal loopholes' or 'government initiatives'. Ignore all unexpected contact or adverts about pensions even if the person seems friendly and professional and knows some information about you.

- Just so you know, the government has banned cold calling by phone about pensions. If someone calls you out of the blue about your pension, the call is illegal and likely to be a fraudster. You should end the call immediately and alert the Information Commission's Office (ICO) – ico.org.uk/make-a-complaint/nuisance-calls-and-messages

- A slick website or glossy marketing material does not mean a firm is safe to deal with even if it looks genuine. Check if the firm you are dealing with is genuine by contacting the Financial Conduct Authority (FCA) before giving any personal information away. You can contact the FCA on 0800 111 6768 or www.fca.org.uk

- Take your time. Never be rushed into making a decision. Scammers sometimes say offers are time limited and will pressurise you into making quick decisions. They may even send documents to you by courier – you should never rush a decision about your pension money.

- They may tell you your money would be safer if it was moved or cashed in, sometimes impersonating an official from a regulatory authority, your bank or the Fraud Squad for example.

- It's likely to be a scam if someone says they can help you access your pension money before 55 or offers you an investment described as 'unique', 'overseas', 'environmentally friendly', 'ethical' or in a 'new' industry.

Once you've transferred your pension money into a scam, it's too late. You could lose all your money and face a tax charge up to 55%. Your provider may also charge you fees.

If you think you've been the victim of a pension scam call Report Fraud on 0300 123 2040 (+44 300 123 2040 from outside the UK) or report it on their website www.reportfraud.police.uk/reporting-a-fraud. Report Fraud is the fraud and internet crime reporting centre for England, Wales and Northern Ireland. If you're in Scotland report to Police Scotland directly by phoning 101.

Go to our website for more guidance on:

→ How to spot a pension scam and what to do if you've been scammed
moneyhelper.org.uk/en/money-troubles/scams/how-to-spot-a-pension-scam

Further information on Pension Tax Rules

Lifetime allowance and lump sum allowances

The lifetime allowance (LTA) was a limit on the total amount of pension benefits you could accumulate over your lifetime, without incurring additional tax charges.

Most people were not affected by this as it only applied where the value of all your pension pots was over £1,073,100, which was the limit for the tax year ending 5 April 2024.

The LTA was abolished with effect from 6 April 2024. From the same date, new allowances were introduced which limit the maximum tax-free cash that can be paid by pension schemes.

The lump sum allowance (LSA) limits the maximum tax-free cash payable in your lifetime when taking money from a pension to £268,275 for most people, unless certain protections apply.

The lump sum and death benefit allowance (LSDBA) limits the total amount of tax-free cash payable in your lifetime and on your death to £1,073,100 for most people, unless certain protections apply.

Under transitional arrangements, tax-free lump sums paid out before 6 April 2024 use up part of your LSA and LSDBA. Lump sums paid over these allowances are subject to income tax at the recipient's marginal rate.

You could consider taking specialist pension advice from a regulated financial adviser if you want advice, or you can get further information on our website moneyhelper.org.uk/en/pensions-and-retirement/building-your-retirement-pot/lifetime-allowance-for-pension-savings or call the MoneyHelper Pension Helpline 0800 011 3797.

Money Purchase Annual Allowance (MPAA)

Some of the pension payment options will limit your ability to receive tax relief on any future contributions you (or your employer) pay. Before you make a final decision on withdrawing money you should consider that taking your pension as a number of lump sums, cashing in pots worth

more than £10,000, taking money from a pension drawdown plan and setting up a fixed term annuity reduce the total amount of tax relief you'll receive on pension contributions to a Defined Contribution pension from £60,000 per annum to £10,000 per annum.

Buying a lifetime annuity does not trigger the MPAA. Nor does only taking tax-free cash when setting up a pension drawdown plan. It is only when you draw taxable money from the pension drawdown plan that the MPAA is triggered.

Pension recycling

If you're planning to take your tax-free lump sum when buying a guaranteed or flexible retirement income and pay into the same pension pot or another one, you need to be aware of 'pension recycling' laws. These rules do not apply to taking your pension as a number of lump sums or taking your whole pension in one go.

It could be pension recycling if you intend to use the tax-free lump sum to pay into a pension to get tax relief.

The rules can result in you paying 55% tax on the whole tax-free lump sum. Pension recycling will not normally be applicable where the total tax-free cash taken from all your pots in a 12-month period is under £7,500. If you are taking tax-free cash over this amount you could consider taking financial advice if you're thinking of increasing your pension contributions within 2 tax years before or after taking the lump sum.

For more information see: gov.uk/hmrc-internal-manuals/pensions-tax-manual/ptm133810.

Benefits and pension income

Any money you take from your pension pot will be counted towards the income or savings that are assessed when checking your eligibility for some state benefits. This may affect your entitlement to some benefits or mean you get less money.

If you or anyone in your household are receiving or have received any means-tested state benefits in the last 12 months, or you plan to apply for them, you should contact the relevant paying authority to check how accessing your pension can affect your entitlement.

When your pension affects your benefits

The way money from your pension is assessed depends on whether you or your partner have reached the qualifying age for Pension Credit – which is the same as your State Pension Age – use the State Pension Age calculator on gov.uk/state-pension-age to check when this is.

Taking money from your pot, whether it is tax-free cash, lumps sums, or income, may affect your entitlement to benefits, or the entitlement of your partner or other members of your household.

If you or anyone in your household is claiming benefits, it is the responsibility of the benefits claimant to tell the benefit paying authority (the Department for Work and Pensions (DWP), HM Revenue and Customs (HMRC) or your local council) if you or your partner take any money from your pension pot.

If you deliberately spend or give away money (including tax-free cash) from your pot to avoid a reduction in, or start to get, or to increase benefits and help with care costs, DWP, HMRC or your local council may assess your finances again and treat you as still having that money.

Your other assets (eg savings and investments) may also be added to income or cash taken from your pot when you're assessed for benefits.

Getting help with benefits

For more information about benefits entitlement you can speak to Citizens Advice (see 'Other trusted sources of free and impartial guidance').

Contact the International Pension Centre +44 191 218 7777 if you live abroad and you receive benefits.

Debt and pensions

When you're able to take money from your pension pot, you should think carefully before using it to pay off any debts or mortgage. Money you use from your pot could leave you with less to live on in the future.

If you have an arrangement to pay your debts at the time you take your pension, creditors may be able to access some or all of the pension income or lump sums you take.

Find out the status of any debt arrangement you have before choosing a pension option.

Getting help with debt

If you are considering taking money from your pension to pay off debts, there may be other debt repayment options that should also be considered, and debt advice may be able to help you choose which debt solution best suits your needs.

Take your time when deciding what to do with your pot and don't rush into a decision. For more information about debt you can speak to the MoneyHelper Money Guidance Helpline (see 'Additional resources on the MoneyHelper website which may interest you'). There is a lot of useful information about debt management on the MoneyHelper website, and many useful online tools: moneyhelper.org.uk/en/money-troubles/dealing-with-debt

There are lots of free advice services available across the UK. The debt locator tool on the MoneyHelper website can help you find the best type of advice to suit your needs in your country or region. It signposts to telephone and online help - moneyhelper.org.uk/en/money-troubles/dealing-with-debt/debt-advice-locator

Go to our website for more guidance:

→ Using your pension to pay off debts
moneyhelper.org.uk/en/pensions-and-retirement/pension-problems/using-your-pension-to-pay-off-debts

Pensions and ill health

If you're ill

You may be able to take your pension pot early if you can't work because you're too ill.

This could be before your 'selected retirement age' – the age you agreed with your provider to retire. Speak to your provider about the rules of your pension.

An 'enhanced' or 'impaired' annuity may pay more than a standard annuity if you smoke or have a medical condition, eg diabetes or high blood pressure.

If you're under 55 and have ill health you may be able to take your pension. Each pension scheme has a different definition of ill health and different rules for taking your pension early – speak to your provider.

If you have a serious illness

Special tax rules apply if you have a serious illness which means you're expected to live for less than a year.

You may be able to take your whole pension tax free if all of the following apply to you:

- You're expected to live for less than a year because of serious illness.
- You don't have more than the lump sum and death benefit allowance in pension money (£1,073,100 in 2026/27).

Check the terms of your pension with your provider. Some pensions will keep at least 50% of your pot for your spouse or partner.

Next steps:
Things to consider:

- Think about whether you want a cash sum now or a type of income
- Think about how you want to leave money behind
- Think about the most tax-efficient way of leaving your money – you can

speak to a financial adviser to help with this

Questions to ask your provider:

- What are the rules on taking my money if I'm seriously ill?
- Do you have up-to-date details of who I want to leave money to (my 'beneficiary')?

Go to our website for more guidance on:

→ Problems with a decision about ill health in retirement
moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/early-retirement-because-of-illness-sickness-or-disability

Transferring final salary or career average pensions

These pensions (known as ‘defined benefit’) give you an income based on your salary and length of service with an employer. The 6 pension options only apply to personal or workplace pensions known as ‘defined contribution’.

To choose one of the 6 options, you would need to transfer your defined benefit pension to a defined contribution one. The value of your defined benefit pension gets transferred as cash and is invested into a defined contribution pot. This then gives you access to the same options as people with defined contribution pensions.

Key facts

1. Think very carefully about doing a transfer – it’s likely you’ll be worse off.
2. A defined benefit pension gives you a guaranteed income. A transfer to a defined contribution pot will mean giving up valuable pension scheme benefits.
3. Some employers don’t accept transfers – check first.
4. Sometimes employers offer incentives to transfer, eg cash payments – you should think carefully about accepting these.
5. Look out for pension scams. If an individual or company contacts you and promises great returns from a defined contribution pot or says it’s a great opportunity to free up cash, it’s probably a scam.
6. Speak to a financial adviser before you transfer. If you have a defined benefit pension worth more than £30,000 (known as your ‘safeguarded benefits’) you legally have to get financial advice first.

Go to our website for more guidance on:

→ Defined benefit (or final salary) pensions schemes explained
moneyhelper.org.uk/en/pensions-and-retirement/pensions-basics/defined-benefit-or-final-salary-pensions-schemes-explained

Pension transfers

Before you transfer, you'll need to find out if your current provider will allow you to transfer and if the provider you're moving to will accept it.

Ask your current provider how long it will take to transfer and if you:

- have to pay fees when you transfer
- lose any right you have to take your money at a certain age
- lose any special features, eg a guaranteed annuity rate
- lose any right to take a tax-free lump sum of more than 25% of your pension pot

You should also ask the provider you're moving to if you'll have to make regular payments into the new pension.

To help you calculate if it's worth transferring, ask your provider how much your pot is likely to be worth when you retire. You can then shop around and get comparisons from other providers – by yourself or with help from a financial adviser.

Transfer value

Ask your provider what the 'transfer value' of your pot is. This is the amount your pot would be worth if you moved to a different provider.

The transfer value could be lower than your total pot value. This could mean there is an 'early exit fee' or your pot has been reduced or adjusted. Ask your provider to explain the difference in values.

Getting financial advice

You can get impartial advice about pension transfers from a regulated financial adviser.

You must get financial advice if you want to transfer from a:

- defined benefit pension worth more than £30,000
- defined contribution pension worth more than £30,000 with a guarantee about what you'll be paid when you retire (eg a guaranteed

annuity rate)

Go to our website for more guidance on:

→ Transferring your defined contribution pension
moneyhelper.org.uk/en/pensions-and-retirement/building-your-retirement-pot/transferring-your-defined-contribution-pension

Feedback and complaints

Feedback about Pension Wise

You can email Pension Wise at
contact.pensionwise@moneyhelper.org.uk.

You can also write to us by post:

Money and Pensions Service
Pension Wise (MoneyHelper)
Borough Hall
138 Cauldwell Street
Bedford MK42 9AB

Where possible please include your booking reference number (you'll find this in your appointment confirmation email).

Complaints

If you have a complaint about Pension Wise, please email
complaints@maps.org.uk.

Please provide as much detail as you can, including:

- whether your complaint is about a phone appointment, face-to-face appointment or anything else

- your booking reference number, if you have one (you'll find this in your confirmation email)

We'll let you know when we've received your complaint and aim to give a full response within 20 working days. If we can't do this, (eg, if we need more time to investigate your complaint) we'll let you know the reason for the delay and when you can expect a response.

Additional resources on the MoneyHelper website which may interest you

MoneyHelper

For any money or pension query call our helpline

MoneyHelper helpline
Phone: 0800 011 3797
From overseas: +44 20 7932 5780

Help with the cost of living
moneyhelper.org.uk/en/money-troubles/cost-of-living
Budget Planner Tool
moneyhelper.org.uk/en/everyday-money/budgeting/budget-planner
Annuity Comparison Tool
comparison.moneyhelper.org.uk/en/tools/annuities
Guidance on taking retirement advice
moneyhelper.org.uk/en/pensions-and-retirement/taking-your-pension/find-a-retirement-adviser
Pension Drawdown Investment Pathways Tool
comparison.moneyhelper.org.uk/en/tools/drawdown-investment-pathways
Retirement budget planning
moneyhelper.org.uk/en/pensions-and-retirement/building-your-retirement-pot/check-the-progress-of-your-pension-and-retirement-savings
Pension calculator
moneyhelper.org.uk/en/pensions-and-retirement/pensions-basics/use-our-pension-calculator
Managing your money in uncertain times
moneyhelper.org.uk/en/money-troubles
Financial abuse
moneyhelper.org.uk/en/family-and-care/talk-money/financial-abuse-spotting-the-signs-and-leaving-safely
Moving your UK pensions overseas
moneyhelper.org.uk/en/pensions-and-retirement/building-your-retirement-pot/moving-your-uk-pension-overseas

For general pension queries and complaints, including help avoiding pension scams and saving into a pension scheme. Debt and borrowing, budgeting and managing money, saving and investing, pensions and retirement, work and redundancy, benefits, births, deaths and family, insurance, homes and mortgages, care and disability, cars and travel.

Other trusted sources of free and impartial guidance

Citizens Advice

England & Wales
www.citizensadvice.org.uk
Phone:
0800 144 8848 (England)
0800 702 2020 (Wales)

Northern Ireland
www.citizensadvice.org.uk/about-us/northern-ireland/

Scotland
www.cas.org.uk
Phone: 0800 028 1456

For debt, social care, state benefits, employment rights, consumer rights, relationships, housing, discrimination and tax.

Pensions UK

pensionsuk.org.uk retirementlivingstandards.org.uk

To help savers think in a practical way about the kind of lifestyle they might lead in retirement.

Pensions Ombudsman

www.pensions-ombudsman.org.uk
Phone: 0800 917 4487

Complaints about the maladministration of pensions.

Financial Ombudsman

www.financial-ombudsman.org.uk
Phone: 0800 023 4567

Complaints about the sales and marketing of pensions.

Report Fraud

www.reportfraud.police.uk
Phone: 0300 123 2040

For information on scams, cyber crime and fraud and how to report them.

HM Revenue and Customs

www.gov.uk/contact-hmrc
Phone: 0300 200 3300

Self Assessment, tax credits, child benefit, income tax, national insurance, tax for employers, VAT and other guidance.

Financial Conduct Authority (FCA)

www.fca.org.uk
Phone: 0800 111 6768

Useful information on scams

Check the FCA register to see if a firm or adviser is regulated
www.fca.org.uk/register
Check list of unauthorised schemes and individuals to avoid
www.fca.org.uk/consumers/warning-list-unauthorised-firms

GOV.UK

www.gov.uk
www.gov.uk/check-state-pension
www.gov.uk/find-pension-contact-details
www.gov.uk/state-pension-age
www.gov.uk/guidance/check-the-recognised-overseas-pension-

schemes-notification-list
www.gov.uk/transferring-your-pension
www.gov.uk/estimate-income-tax
www.gov.uk/tax-on-pension/tax-when-you-live-abroad
www.gov.uk/tax-uk-income-live-abroad/taxed-twice
www.gov.uk/government/organisations/hm-revenue-customs/contact/income-tax-and-capital-gains-tax-enquiries-for-non-uk-residents
Phone:
0800 731 0175 (Future Pension Centre)
0800 731 0175 (Pension Tracing Service)
+44 191 218 7777 (International Pension Centre – for overseas customers with State Pension queries)

State pension, tracing a pension, tax credits, births, deaths, marriages, divorce, lasting power of attorney, employment & self-employment, childcare and parenting, disabled people, housing and Local services, money and tax, passports, travel and living abroad.

MIND

www.mind.org.uk
Phone: 0300 123 3393

Types of mental health problems, where to get help, medication and alternative treatments and advocacy.

Samaritans

www.samaritans.org
Phone: 116 123 (UK)
Email: jo@samaritans.org

Samaritans offer a safe place for people to talk any time they like, in their own way – about whatever's getting to them. They don't have to be suicidal to get in touch.

Alzheimers Society

www.alzheimers.org.uk

Phone: 0333 150 3456

Dementia, daily living, help with care, staying independent, legal and financial.

Privacy Notice

Information on how MoneyHelper collects, processes and stores your data, and information on your rights in relation to the data we hold can be found at moneyhelper.org.uk/privacy.